AGA KHAN UNIVERSITY EXAMINATION BOARD

SECONDARY SCHOOL CERTIFICATE

CLASS IX EXAMINATION

MAY 2013

Business Studies Paper II

Time: 2 hours 25 minutes Marks: 50

INSTRUCTIONS

Please read the following instructions carefully.

1. Check your name and school information. Sign if it is accurate.

I agree that this is my name and school. **Candidate's signature**

2. RUBRIC. There are TEN questions. Answer ALL questions. Questions 9 & 10 each offer TWO choices. Attempt any ONE choice from each.

3. When answering the questions:

   Read each question carefully.
   Use a black pencil for diagrams. DO NOT use coloured pencils.
   DO NOT use staples, paper clips, glue, correcting fluid or ink erasers.
   Complete your answer in the allocated space only. DO NOT write outside the answer box.

4. The marks for the questions are shown in brackets ( ).

5. You may use a simple calculator if you wish.

Q.1. (Total 7 Marks)

a. Differentiate between public and private sectors in terms of their objectives and control. Give an example of each from Pakistan's economy. (5 Marks)

	Public Sector	**Private Sector**
Objective		
Control		
Examples		

b. How is a public limited company different from a sole proprietor business with reference to command and control? (2 Marks)

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Q.2. (Total 5 Marks)

a. How can a democratic style of management be effective in business organizations of a service sector such as hotels or restaurants? (2 Marks)

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b. Discuss drawbacks and possible application of each style of management. (3 Marks)

Style	Drawback	Possible Application
Autocratic		
Democratic		
Laissez Faire		

Q.3. (Total 7 Marks)

a. 'Too much attention to health and safety by the governments has simply made business activity more difficult and expensive.' Briefly give arguments in support or against the given statement by mentioning TWO points. (4 Marks)

b. Does technology always cause unemployment? Discuss with the help of an example. (3 Marks)

Q.4. (Total 3 Marks)

Differentiate between capital and revenue expenditures with an example of each.

	Capital Expenditure	**Revenue Expenditure**
Definition		
Example		

Q.5. (Total 3 Marks)

Karachi Boot House, is a sole proprietor which manufactures shoes. The owner wants his organisation to expand and convert to a private limited company. As such, he wants to open outlets all across Pakistan but does not have enough finance.

Explain THREE different factors he should consider before arranging the sources of finance.

Q.6. (Total 3 Marks)

Choose and draw a channel of distribution for each of the following products:

- *Lassi* at a milk shop

_____

- Pepsi

_____

- Car

_____

Q.7. (Total 3 Marks)

What method of transport would you suggest for each of the following products and why?

- Fresh vegetables from the farm to a vegetable market in a nearby town or city

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_____

- Cars from a factory to the international market

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_____

- Socks from a factory (manufacture) to an international market

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_____

- Crude oil from an oil field to a nearby oil refinery

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Q.8. (Total 3 Marks)

If a firm hires a new employee, explain what would be the key features of an induction training would be necessary for the new employee.

_____

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Q.9. (Total 8 Marks)

EITHER

a. Explain opportunity cost with THREE examples from everyday life and business environment.

OR

b. 'Communication is the process of transferring information from your mind into the mind of someone else. The best communication is when the exact picture, feeling, emotion or concept is transferred from one person to another.'

Discuss FOUR ways to overcome the barriers in business communication.

Q.10. (Total 8 Marks)

EITHER

a. 'Training is crucial for organizational development and success. It is fruitful to both employers and employees of an organization.'

Analyse any FOUR benefits of training for a business organization.

OR

b. Analyse a financial statement with reference to its key features.

END OF PAPER